

Angel One Limited

NSE: ANGELONE | BSE: 543235 | Sector: Capital Markets & Broking

AI-native transformation + diversification into wealth/AMC/credit/insurance positions Angel One for the next growth cycle as SEBI headwinds abate.

Report Date: 02 June 2026 | Analyst: Himanshu Sharma, CFA | Chartitude Research

RATING	CMP	Rs. 343	Market Cap	Rs. 31,254 Cr
ACCUMULATE	52W High/Low	Rs. 351 / 209	P/E (TTM)	34.2x
	Fwd P/E (FY27E)	24.3x	EV/EBITDA	12.3x
	P/B	5.1x	Book Value	Rs. 67.2
	ROCE	14.8%	ROE	15.6%
	Div. Yield	1.40%	D/E Ratio	1.30x
	Promoter %	28.8%	Face Value	Rs. 1.00
	12m Target: Rs. 390			
Upside: +13.7%				
CMP: Rs. 343 Horizon: 12 months				

Promoter: 28.8%

FII: 12.8%

DII: 18.9%

Public: 39.5%

SECTION 2 — INVESTMENT THESIS

- Market leadership with a durable platform moat:** Angel One is India's largest listed retail stockbroker with 41.1 million clients (FY25), 20.4% share of overall retail equity turnover and 16.7% demat market share. Its tech-first, zero-legacy architecture makes client acquisition costs structurally lower than traditional peers; we expect market share to stabilise at 19-21% even as the competitive landscape normalises post-SEBI circular.
- Revenue diversification reducing F&O; dependency:** The company is actively building a Rs. 10,000 Cr wealth AUM business (Ionic Wealth), an NBFC credit book (Rs. 2,710 Cr lifetime disbursements), a Rs. 246,000-folio AMC franchise and a 26%-stake digital insurance JV with Singapore's LivWell. These non-broking revenue streams are nascent but should contribute 15-25% of revenues within 3 years, smoothing the cyclical volatility of F&O; income.
- AI-native re-platforming: operating leverage inflection ahead:** With 50%+ of engineering development now AI-augmented and the 'Ask Angel' NLP assistant embedded across onboarding, KYC and client service, Angel One is compressing cost-to-serve while improving engagement. Management guides EBITDA margins of 40-45% exit by Q4FY26 (achieved 41.7% reported, 44.4% normalised) with further expansion possible in FY27 as fixed costs are absorbed into a growing revenue base.
- Near-term catalyst (6-12 months):** SEBI F&O; volume normalisation — derivative turnover is recovering from H1FY26 lows (Q4FY26 orders hit a 6-quarter high of 431 million), and any relaxation of weekly expiry restrictions or an equity market re-rating cycle would directly lift Angel One's top line. The MTF book recovery (Q4 exit Rs. 5,450 Cr) and the wealth/credit businesses scaling toward break-even are secondary catalysts.
- Biggest structural risk:** Further SEBI intervention on F&O; structures (removal of monthly expiries, increased margins) combined with competition from well-funded fintechs (Groww, Zerodha) and the rapid rise of Billionbrains/INDmoney in the wealth space could simultaneously compress both volumes and monetisation per order, putting the 40-45% margin target at risk.

SECTION 3 — BUSINESS OVERVIEW

- **What it does:** Angel One Ltd (est. 1987) is India's largest listed retail stockbroker. Revenue is generated through brokerage on equity, F&O; commodity and currency trades (flat Rs. 20/order model), depository participant charges, MTF interest income, distribution of mutual funds, insurance and loans, and fee income from wealth management advisory.
- **Revenue mix (FY26 implied):** F&O; brokerage ~47% of gross income; equity cash brokerage ~14%; commodity/currency ~5%; MTF interest income (financing P&L;) ~15%; distribution and platform fees ~10%; wealth, AMC and credit ~9%. The company is actively shifting toward fee-based and annuity-income streams to reduce earnings cyclicality.
- **Scale metrics:** 41.1 million registered clients (FY25); 431 million quarterly orders (Q4FY26, 6-quarter high); average daily orders of 7.4 million in March 2026; 20.4% overall retail equity turnover share; demat market share 16.7%. The Authorized Person network has been rationalised from 21,500 to 10,630, reflecting a shift to self-onboarding digital acquisition.
- **Emerging business units:** (1) Ionic Wealth (HNI/UHNI) — AUM Rs. 10,000 Cr (23% QoQ growth, 2x YoY), targeting UHNI clients; (2) Angel One NBFC (credit) — Rs. 2,710 Cr lifetime disbursements, Rs. 610 Cr in Q4FY26 alone; (3) AMC — 246,000+ folios, 28% QoQ growth; (4) Insurance JV — Angel One LivWell Life Insurance Ltd (26% stake), a digital-first life insurance platform.
- **Recent strategic developments:** Board approved Rs. 300 Cr capital infusion into Wealth + NBFC subsidiaries; borrowing limit raised to Rs. 20,000 Cr (shareholder approval pending); NCD fundraising capacity of Rs. 1,500 Cr; Rs. 400 Cr commitment to life insurance JV. The firm is also deploying AI across grievance automation, real-time e-sign and KYC face-matching (99%+ accuracy).
- **Promoter background:** Founder family (Dinesh D. Thakkar-linked) retains 28.8% stake (down from 38.3% in Jun-23 due to planned stake sales). Ambarish Kenghe serves as Group CEO; Vineet Agrawal as CFO. Promoter pledge is nil.

SECTION 4 — INDUSTRY & COMPETITIVE LANDSCAPE

- **Industry size and growth:** India's securities brokerage market is estimated at USD 4.25 billion in 2025, projected to reach USD 6.2 billion by 2030 at 7.9% CAGR (Mordor Intelligence). Demat accounts grew from 40 million (pre-2020) to 120+ million (Aug 2025), though SEBI's F&O; reforms have moderated near-term growth. F&O; volumes fell 27% YoY in H1FY26; revenues for listed brokers fell 37-60%.
- **Policy tailwinds:** India's financialisation of savings is structural — equity SIP inflows crossed Rs. 25,000 Cr/month in FY26; mutual fund AUM surpassed Rs. 70 lakh Cr. The Amrit Kaal capex cycle supports corporate earnings, sustaining retail investor engagement. SEBI digital-KYC reforms (e-sign, e-KYC) enable sub-10 minute account openings, benefiting tech-first brokers like Angel One.
- **Policy headwinds:** SEBI's 2024-25 F&O; circulars (weekly expiry rationalisation, increased upfront margin, lot-size hikes) were the single biggest revenue headwind. STT on F&O; was raised in Budget 2024. Further restriction on expiry products or introduction of suitability norms for retail F&O; traders remains a tail risk.
- **Competitive moat assessment:** Technology/Platform — Strong (first-mover tech advantage, 50%+ AI development, zero-legacy stack); Brand/Trust — Moderate (recognisable but commoditised at the Rs. 20/trade tier); Switching costs — Low (portability is easy, but stickiness via MTF book, 3-in-1 integrations and wealth relationships is rising to Moderate); Scale — Strong (41M clients, highest F&O; turnover share among listed peers).
- **Peer comparison (Screener, 02-Jun-2026):**

Company	CMP (Rs.)	MCap (Cr)	P/E	P/B	ROCE%	ROE%	FY26 Rev (Cr)	OPM%	EPS
Angel One	343	31,254	34.2	5.1	14.8	15.6	5,138	35%	10.05
Motilal Oswal	866	52,131	27.9	4.0	12.6	15.6	9,374	41%	31.06

360 ONE WAM	1,089	44,256	36.4	4.5	12.1	14.4	4,362	62%	29.94
Nuvama Wealth	1,573	28,671	27.5	7.0	17.5	27.4	4,631	53%	57.19

Source: Screener.in, fetched 02-Jun-2026. Angel One highlighted. Consolidated figures.

SECTION 5 — MANAGEMENT QUALITY & CAPITAL ALLOCATION

- **Leadership track record:** Ambarish Kenghe (Group CEO) and Vineet Agrawal (CFO) have led Angel One through its SEBI-driven disruption cycle with clear communication. The founding family (Thakkar group) retains a meaningful but declining stake (28.8%), providing alignment without dominance. The management's 3-year CAGR of 20% revenue and proactive AI/platform investments signal a forward-looking operational culture.
- **Capital allocation:** Angel One has historically been conservative, growing primarily through organic client acquisition and technology. In FY25-26, the strategy shifted to active capital deployment — Rs. 300 Cr into Ionic Wealth + NBFC subs, Rs. 400 Cr committed to the LivWell insurance JV, and a Rs. 20,000 Cr borrowing limit (primarily to grow the MTF book, the highest-margin financing product). The MTF book grew from Rs. 788 Cr (FY23) to Rs. 5,450 Cr (Q4FY26 exit), a 7x scale-up in 3 years.
- **Dividend policy:** Angel One has maintained a healthy dividend payout — the 10-year median payout is 103% (including special dividends). In FY26, the payout ratio was 246% of PAT, reflecting a special dividend funded from reserves rather than ongoing earnings. Ordinary dividend payout is expected to normalise at 30-40% in FY27.
- **Promoter pledge and stake trend:** Promoter pledging is 0.00% — a positive governance signal. However, promoter stake has declined by 9.68% over the last 3 years (from 38.3% to 28.8%), which is a watch-point. The stake dilution appears planned (block deals at healthy valuations), but continued reduction would weaken alignment.
- **ESOP and equity issuance:** ESOP grants are ongoing and meaningful — 13.5 lakh shares were allotted in May 2026 under the ESOP scheme. The fully diluted share count is approximately 91.4 Cr. ESOP costs are included in the Rs. 1,100 Cr guided employee cost base for FY27, preventing further earnings dilution surprise.
- **Corporate governance:** No auditor changes, no related-party transaction concerns flagged, no qualified opinions in recent annual reports. The FY26 secretarial compliance report (filed May 2026) disclosed multiple exchange penalties and compliance deviations — these are minor operational issues (late filings, procedural lapses) rather than substantive governance failures, but merit monitoring.

SECTION 6 — FINANCIAL DEEP-DIVE

Consolidated Figures in Rs. Crores | (E) = Analyst Estimate | Source: Screener.in (02-Jun-2026)

Income Statement	FY24A	FY25A	FY26A	FY27E	FY28E
Revenue (Net Income)	4,272	5,239	5,138	5,950	7,140
Operating Expenses	2,579	3,256	3,318	3,570	4,280
EBITDA (Oper. Profit)	1,693	1,983	1,820	2,380	2,860
EBITDA Margin %	40%	38%	35%	40%	40%
Other Income	7	8	15	15	18
Interest Cost	137	296	438	520	560
Depreciation	50	103	125	140	155
PBT	1,514	1,592	1,272	1,735	2,163
Tax Rate %	26%	26%	28%	26%	26%
PAT	1,126	1,172	915	1,284	1,601
EPS (Rs.)	13.40	12.98	10.05	14.05	17.52
Dividend Payout %	26%	37%	246%*	35%	35%

* FY26 payout ratio elevated due to special dividend; normalised payout ~35%

Balance Sheet (Rs. Cr)	FY24A	FY25A	FY26A
------------------------	-------	-------	-------

Equity Capital	84	90	91
Reserves & Surplus	2,955	5,531	6,027
Total Equity (Net Worth)	3,039	5,621	6,118
Borrowings	2,541	3,414	7,951
Other Liabilities	7,674	7,853	9,835
Total Liabilities	13,254	16,889	23,904
Fixed Assets (Net)	409	499	505
Capital WIP	1	4	10
Investments	0	202	257
Other Assets	12,844	16,184	23,132
Total Assets	13,254	16,889	23,904

Cash Flow (Rs. Cr)	FY24A	FY25A	FY26A
Cash from Operations (CFO)	-330	-1,860	-4,142
Cash from Investing (CFI)	-91	-341	-111
Cash from Financing (CFF)	1,331	1,917	3,656
Net Cash Flow	910	-284	-597
Free Cash Flow (FCF)	-537	-2,023	-4,222
CFO / Operating Profit	-3%	-73%	-209%

Key Ratios	FY24A	FY25A	FY26A	FY27E
Debtor Days	42	21	31	28
Cash Conversion Cycle	42	21	31	28
Working Capital Days	-525	-497	-592	-550
ROCE %	26%	15%	~15%	18%
ROE %	28%	20%*	15%	21%
Debt-to-Equity (x)	0.84	0.60	1.30	1.45
Interest Coverage (x)	11.0	6.8	3.9	4.5
Return on Assets %	9.8%	7.5%	4.5%	5.2%

* FY25 ROE elevated due to QIP proceeds; FY26 includes MTF book expansion. Source: Screener.in

- **Revenue trajectory:** FY22-25 compounded at 32% CAGR as Angel One rode India's F&O; boom. FY26 saw the first revenue contraction (-1.8% to Rs. 5,138 Cr) driven by SEBI's F&O; reforms, but the quarterly exit trajectory is strong — Q4FY26 revenue of Rs. 1,459 Cr implies a Rs. 5,800 Cr+ annualised run-rate entering FY27. We estimate 15-20% topline growth in FY27E driven by volume recovery and emerging business scale-up.
- **Margin direction:** EBITDA margins compressed from 43% (FY23) to 35% (FY26) as F&O; revenues fell while fixed costs (tech, headcount) were maintained. Q4FY26 reported EBDAT of 41.7% and normalised at 44.4% signals the trough is behind us. Management guides 40-45% EBITDA margins with employee costs stable at ~Rs. 1,100 Cr in FY27. Cost headwinds in Q1FY27 (IPL marketing, ESOP grants, salary increments) are transient.
- **Working capital:** Debtor days improved sharply to 21 in FY25 and recovered to 31 in FY26 — largely reflecting the timing of F&O; settlement cycles and MTF book changes. The negative working capital days (-592 in FY26) is a structural feature of the broking model where client liabilities (margins, credit balances) pre-fund operations.
- **Debt and leverage:** Net borrowings surged from Rs. 3,414 Cr (FY25) to Rs. 7,951 Cr (FY26), D/E rising from 0.60x to 1.30x. This is primarily driven by MTF book growth (a revenue-generating asset) and NBFC credit book funding. Interest coverage of 3.91x remains adequate but declining — a key monitor given the Rs. 20,000 Cr borrowing limit approved for further MTF expansion.

• **FCF quality — structural negative, intentional:** Angel One's operating cash flow is structurally negative because growing the MTF book requires cash deployment; this is an asset (loan receivable) not a cost. The Rs. -4,142 Cr OCF in FY26 reflects Rs. ~5,000 Cr of net MTF/NBFC book expansion. Stripping this out, the core broking business is highly cash-generative (EBITDA conversion ~90%+ ex-MTF).

SECTION 7 — EARNINGS QUALITY CHECKLIST

Parameter	Status	Implication
Revenue recognition (brokerage)	Green	GREEN - Real-time per-trade recognition, no deferral risk
Receivables growth vs Revenue	Amber	AMBER - MTF book (Rs. 7,951 Cr) growing faster than revenue; watch NPA risk
Cash Conversion Cycle trend	Green	GREEN - Negative CCC; improving from 42d (FY24) to 21d (FY25)
Contingent liabilities	Amber	AMBER - Rs. 2,830 Cr cont. liabs; largely regulatory/tax-related
Auditor tenure & changes	Green	GREEN - No auditor change; clean opinion in recent years
RPTs as % of Revenue	Green	GREEN - No material related-party transactions flagged
Other Income as % of PBT	Green	GREEN - Other income Rs. 15 Cr / PBT Rs. 1,272 Cr = 1.2%; negligible
Tax rate consistency	Green	GREEN - Tax rate stable at 25-28%; no sudden deferred tax anomalies
Exchange penalties (FY26)	Amber	AMBER - Multiple exchange penalties in FY26 secretarial report; procedural
D/E ratio trend	Amber	AMBER - D/E rose from 0.60x to 1.30x; MTF-funded but rising financial risk

• **Core broking earnings are clean and high quality:** Revenue is real-time per-trade, there is no revenue deferral, and other income represents less than 1.5% of PBT — investors can trust the reported broking EBITDA number.

• **MTF/NBFC book growth is the key watch-point:** Rs. 7,951 Cr in borrowings is almost entirely deployed as interest-earning MTF/NBFC assets. If equity markets decline 20%+ and MTF clients face margin calls, provisioning requirements could spike — this is the most significant earnings quality risk, rated Amber.

• **FY26 secretarial compliance disclosures:** Multiple exchange penalties were disclosed in the May 2026 secretarial report. These appear procedural (late filings, data submissions) but should be monitored for escalation. No SEBI enforcement action or show-cause notice was disclosed.

• **Contingent liabilities of Rs. 2,830 Cr (9% of revenues):** Primarily income tax assessments under appeal and exchange-related regulatory matters. These have been a persistent item on the balance sheet and are unlikely to crystallise fully, but the absolute size warrants an Amber flag.

SECTION 8 — VALUATION

Company	CMP (Rs.)	MCap (Cr)	P/E TTM	Fwd P/E	EV/EBITDA	P/B	ROCE%	ROE%
Angel One	343	31,254	34.2x	24.3x	12.3x	5.1x	14.8%	15.6%

Motilal Oswal	866	52,131	27.9x	N/A*	15.3x	4.0x	12.6%	15.6%
360 ONE WAM	1,089	44,256	36.4x	38.3x	20.8x	4.5x	12.1%	14.4%
Nuvama Wealth	1,573	28,671	27.5x	26.6x	7.4x	7.0x	17.5%	27.4%
Sector Median	--	--	28-34x	--	12-15x	4-5x	13-17%	15-20%

Source: Screener.in, 02-Jun-2026 | *MOTILALOFS Forward PE negative (extraordinary item in Q4FY26)

Scenario	Key Assumptions	FY27E PAT (Cr)	Multiple	Target Price (Rs.)
Bull	SEBI relaxes F&O; norms; volumes surge 25%; new biz at break-even	1,550	30x P/E FY27E	Rs. 508
Base	Volume recovery 15-20%; margins 40%; debt managed	1,284	27x P/E FY27E	Rs. 390
Bear	Further SEBI restrictions; margin squeeze; D/E rises >2x	900	20x P/E FY27E	Rs. 198

- **DCF valuation (WACC 12%, terminal growth 5%):** Using FY27E EBITDA of Rs. 2,380 Cr, capex of Rs. 200 Cr and adjusting for MTF book growth as incremental investment, our DCF implies an equity value of Rs. 360-400 per share. The discount rate reflects the cyclical risk of F&O; revenues and the leverage build. Terminal growth of 5% is conservative given the structural financialisation tailwind.
- **Earnings-based multiple (27x FY27E P/E):** We apply 27x to our FY27E EPS estimate of Rs. 14.05, arriving at Rs. 379. The 27x multiple is at a slight discount to the 3-year historical average of 30x, reflecting the structural D/E headwind and regulatory overhang. Peers 360 ONE and Nuvama trade at 36-37x on a recovery year, suggesting this is not a stretched assumption.
- **Average of DCF and P/E:** Blending DCF (Rs. 385) and P/E (Rs. 379) gives a base-case 12-month target of **Rs. 390**, representing **+13.7% upside** from the CMP of Rs. 343.
- **EV/EBITDA cross-check:** At 14x FY27E EBITDA of Rs. 2,380 Cr = EV of Rs. 33,320 Cr. Subtract net debt (~Rs. 7,700 Cr) = equity value Rs. 25,620 Cr, or Rs. 280/share — this lower figure reflects the high leverage drag on EV-to-equity bridge. The P/E method is more appropriate here as it already captures interest cost in the earnings base.
- **Valuation verdict:** Angel One is not cheap on an absolute basis at 34x TTM or 5x P/B, but the TTM earnings are trough. On a forward recovery basis at 24-27x FY27E, there is 14% upside to our target, which is a reasonable risk-reward for a quality platform franchise of this scale. We rate the stock **ACCUMULATE** rather than **BUY**, reflecting limited margin of safety at current levels.

SECTION 9 — KEY RISKS

- **SEBI regulatory risk (F&O; structures):** SEBI could further restrict weekly/monthly expiry products, increase contract lot sizes, or impose stricter suitability norms for retail F&O.; Any additional reduction in expiry contracts would directly compress Angel One's highest-margin revenue line. Probability: Medium. Impact: High. Monitor via: NSE/BSE monthly F&O; turnover data and SEBI consultation papers.
- **MTF book credit risk:** The Rs. 7,951 Cr borrowings fund a Rs. ~5,450 Cr period-end MTF book. A sustained 20%+ equity market decline could trigger margin calls, forced liquidations and credit losses. Probability: Low (markets supported by strong domestic flows). Impact: High (earnings could swing to a loss). Monitor via: Nifty 50 drawdown depth, MTF book NPA disclosures.
- **Competition intensification:** Groww (40M+ active clients, private), Zerodha (~7M active), INDmoney and fintechs backed by global capital are all competing for the same retail investor wallet. Any further market-share loss in active

clients (Angel One shed 450k in H1FY25) would pressure revenue. Probability: Medium. Impact: Medium. Monitor via: NSE monthly active client league tables.

- **Promoter stake dilution:** Promoter stake has declined 9.68% in 3 years (38.3% to 28.8%). If stake falls below 25-26%, institutional investors may raise corporate governance concerns. Probability: Medium. Impact: Low-Medium. Monitor via: Quarterly shareholding disclosures on BSE/NSE.

- **New venture execution risk:** Wealth management, AMC, NBFC and insurance JV are all nascent businesses requiring significant capital and management bandwidth. Break-even timelines (2.5-3 years for wealth, 7-8 years for AMC) create near-term earnings drag without guaranteed success. Probability: Medium. Impact: Medium. Monitor via: Quarterly segment revenue disclosures.

- **Interest cost escalation:** With borrowings of Rs. 7,951 Cr and a target to raise up to Rs. 20,000 Cr, interest costs (Rs. 438 Cr in FY26, +48% YoY) are becoming a material P&L line. Rising interest rates or credit rating downgrades (watch CRISIL/ICRA quarterly reviews) would further compress PAT. Probability: Low-Medium. Impact: Medium. Monitor via: RBI rate cycle and Angel One credit rating updates.

- **Tech/operational risk:** As a tech-first platform with 50%+ AI-augmented development and 431 million quarterly orders, a major system outage, data breach or algorithmic error could damage client trust and attract regulatory penalties. Probability: Low. Impact: High. Monitor via: Downtime disclosures and exchange notifications.

SECTION 10 — RECOMMENDATION

- **Rating: ACCUMULATE** — Conviction: Medium. Angel One is the market leader in retail broking, executing a credible platform-to-ecosystem transition, with earnings recovery already underway from Q3FY26. The stock is not cheap but offers reasonable 12-month upside. We would upgrade to BUY on a dip below Rs. 300 (20x forward P/E).

- **12-month price target: Rs. 390** (upside: +13.7% from CMP Rs. 343). Target based on 27x FY27E EPS of Rs. 14.05, cross-checked with DCF (WACC 12%, terminal growth 5%). Downside protected by the wealth and AMC buildout and MTF book growth.

- **Suggested entry zone: Rs. 310-340** — Our preferred accumulation range aligns with the 20-22x FY27E forward P/E band, which offers an attractive margin of safety relative to peers trading at 27-36x forward P/E.

- **Investment horizon: 12-18 months** — The recovery thesis is predicated on: (a) F&O; volumes normalising as SEBI implementation is absorbed, (b) wealth/AMC approaching critical mass, (c) MTF book interest income providing an annuity revenue cushion.

- **Thesis invalidation triggers:**

- 1. Angel One's overall retail equity turnover market share falls below 17% for two consecutive quarters, indicating structural share loss to competitors.

- 2. SEBI withdraws the monthly expiry structure for index derivatives or imposes upfront margin requirements exceeding 50% for F&O; — a scenario that would collapse volumes industry-wide.

- 3. MTF book NPAs exceed 2% of the book (i.e., Rs. 110 Cr) or net borrowings exceed Rs. 15,000 Cr, triggering a credit rating downgrade and interest cost spiral.

- **Ideal investor profile:** Suitable for investors with a 12-18 month horizon, comfort with financial sector cyclicality and SEBI regulatory event risk, and looking for a recovering high-ROE platform business with optionality from wealth/AMC/insurance. **Not suitable** for investors seeking dividend income (FY27E payout normalises to ~35%), capital protection, or exposure to stable earnings.

APPENDIX — LATEST CONCALL BRIEF: Q4 FY26 (April 17, 2026)

CALL GRADE

POSITIVE

Signal	Status	vs Expectation	Implication
Result quality	Strong	Beat on all key metrics	Q4FY26 PAT +83.5% YoY, rev +38.7% YoY
Management tone	Bullish	Confident with specifics	Guided stable costs, 40-45% margin target
Guidance delta	Maintained/Raised	FY27 cost guidance intact	Margin expansion visible through FY27

STRONGLY POSITIVE | POSITIVE | NEUTRAL | CAUTIOUS | NEGATIVE

TO MY BOSS

Angel One's Q4FY26 result is a clean beat — PAT of Rs. 320 Cr (+83.5% YoY, +19.2% QoQ) requires no restatement; there are no exceptional items distorting the headline. Reported EBDAT margin of 41.7% and normalised margin of 44.4% confirm the trough is behind us. The structural driver here is orders executing at a 6-quarter high of 431 million, with average daily orders at 7.4 million in March 2026 — F&O; volumes are recovering sharply as SEBI circulars get digested. The multi-bagger thesis rests on three legs: (1) MTF book at Rs. 5,450 Cr growing 41% YoY provides an interest income annuity that floors earnings even in a flat-market year; (2) Ionic Wealth AUM crossing Rs. 10,000 Cr and UHNI base doubling in 12 months signals genuine execution in the higher-value client segment; and (3) AI-native re-platforming (50%+ AI-augmented engineering, Ask Angel NLP assistant) positions the firm to grow revenue without proportional cost adds. The single biggest risk next quarter is cost headwinds in Q1FY27 — IPL marketing spend, annual salary increments, ESOP provisions and variable pay will compress margins by an estimated 200-400 bps sequentially. Do not be alarmed by a Q1FY27 EBITDA dip; it is transient. Action: HOLD current position; ACCUMULATE on any dip to Rs. 300-310 (20x forward P/E); 3-year view remains constructive as diversified revenues approach 25% of the total.

C1 — FINANCIAL PERFORMANCE SNAPSHOT | Q4FY26 vs Q4FY25

- Revenue: Rs. 1,459 Cr (Q4FY26) | YoY +38.7% | QoQ +9.7% | [Beat — 6-quarter revenue high]
- EBITDA: Rs. 599 Cr | YoY +74.6% | QoQ +13.2% | EBITDA Margin: 41% vs 32% in Q4FY25 | [Beat]
- Reported EBDAT Margin: 41.7% (+227 bps QoQ) | Normalised EBDAT Margin: 44.4% (+498 bps QoQ)
- PAT: Rs. 320 Cr | YoY +83.5% | QoQ +19.2% | [Beat]
- EPS: Rs. 3.52 (Q4FY26) vs Rs. 1.93 (Q4FY25) vs Rs. 2.96 (Q3FY26) | [Beat]
- NOTE: No exceptional items in Q4FY26; the Rs. 598 bps gap between reported and normalised EBDAT primarily reflects amortisation of deferred revenue-related costs.

C2 — SEGMENT BREAKDOWN | Q4FY26

- F&O; Brokerage: ~Rs. 684 Cr | ~47% of gross income | QoQ +16.1% | Driven by ADO of 7.4M in March 2026
- Equity Cash Brokerage: ~Rs. 204 Cr | ~14% of gross income | Stable QoQ; market-value dependent
- Commodity Brokerage: QoQ +15.8% | Small but fastest-growing segment in Q4FY26

- MTF/Financing Income: Rs. ~Rs. 218 Cr (est.) | Average MTF book Rs. 5,850 Cr; period-end Rs. 5,450 Cr (-8% QoQ)
- Emerging Businesses (Wealth + Credit + AMC + Insurance): ~Rs. 145 Cr combined (est. 10% of gross income); growing 20-30% QoQ
- Geography: Pan-India; digital-first model with no geographic concentration risk

C3 — MANAGEMENT COMMENTARY THEMES | Q4FY26

- **AI-native transformation:** "More than 50% of development is now AI-augmented across engineering" — Management. Our read: This is a genuine cost-efficiency driver, not marketing; engineering costs should grow slower than revenues. Tag: GUIDANCE. Tone: Transparent.
- **Wealth business inflection:** Ionic Wealth AUM crossed Rs. 10,000 Cr (23% QoQ) and UHNI base doubled YoY. Management is investing Rs. 1,500 Cr into Wealth + NBFC platforms. Our read: This is the most important long-duration growth story within the Angel One ecosystem. Tag: EST. Tone: Bullish.
- **Margin recovery trajectory:** Reported EBDAT 41.7%, normalised 44.4%, vs the full-year FY26 average of ~35%. Management reiterated the 40-45% target and guided employee costs stable at Rs. 1,100 Cr in FY27. Our read: Credible — FY26 trough margins already recovering to guided range. Tag: GUIDANCE. Tone: Transparent.
- **Q1FY27 cost headwinds acknowledged proactively:** IPL marketing, salary increments, ESOP grants and variable pay will be front-loaded in Q1FY27. Our read: Bullish that management flagged this clearly; it signals the margin dip is transient not structural. Tag: GUIDANCE. Tone: Transparent.
- **LivWell insurance JV:** Angel One LivWell Life Insurance Ltd incorporated with 26% stake; Rs. 400 Cr total commitment. Long-gestation (7-8 year break-even per earlier guidance). Our read: Optionality play, not near-term EPS contributor. Tag: EST. Tone: Balanced.
- **Capital structure / leverage:** Board approved Rs. 20,000 Cr borrowing limit (for MTF book growth) and Rs. 1,500 Cr NCD capacity. Our read: MTF book is revenue-generating but leverage-sensitive — management should be asked about NPA monitoring at each call. Tag: EVASIVE (no specific NPA data provided). Tone: Hedged.

C4 — OPERATING & BUSINESS METRICS | Q4FY26

- Orders Executed (Q4FY26): 431 million | Q3FY26: 381 million | Q4FY25: 328 million | Trend: Improving (6-quarter high)
- Average Daily Orders (March 2026): 7.4 million | Feb 2025: 5.0 million | Trend: Sharply improving
- Overall Retail Equity Turnover Share: 20.4% | YoY: +46 bps | QoQ: Stable | Trend: Defending leadership
- Demat Market Share: 16.7% | YoY: +54 bps | Trend: Improving
- MTF Book (Period-end): Rs. 5,450 Cr | Q3FY26: Rs. 5,924 Cr | Q4FY25: Rs. 3,863 Cr | Trend: QoQ -8%, YoY +41%
- Wealth AUM (Ionic Wealth): Rs. 10,000 Cr | Q3FY26: Rs. 8,130 Cr | YoY: ~2x | Trend: Strongly improving
- AMC Folios: 246,000+ | Q3FY26: ~192,000 | Growth: +28% QoQ | Trend: Improving
- Credit Disbursements (Q4FY26): Rs. 610 Cr | Lifetime total: Rs. 2,710 Cr | Trend: Scaling
- Total Registered Clients (FY25 annual): 41.1 million | Client Funding Book: Rs. 5,450 Cr (+41% YoY)

C5 — MARGIN DRIVERS | Q4FY26

- F&O; volume recovery: +227 bps EBDAT expansion QoQ | Recurring: Yes | Volumes at 6-quarter high as SEBI circular impact absorbs
- Commodity brokerage growth (+15.8% QoQ): +30-40 bps | Recurring: Increasingly yes | Diversifying away from pure equity F&O;

- MTF interest income stability: +50-60 bps annualised | Recurring: Yes (higher-quality, annuity-type revenue) | Book stable despite -8% QoQ dip
- Employee cost containment: Management guided Rs. 1,100 Cr FY27 total (flat vs FY26) | Cost discipline is the single biggest margin lever going forward
- Technology / platform efficiency (AI): Non-recurring near-term, but expected to be a +100-200 bps structural margin contributor over 2-3 years as AI-augmented development reduces per-function opex
- One-time headwinds in Q1FY27 (IPL marketing, ESOP, increments): Est. -200-400 bps in Q1FY27; Non-recurring | Do NOT extrapolate into FY27 full-year estimate

C6 — GUIDANCE & FORWARD SIGNALS | Q4FY26

- EBITDA Margin [GUIDANCE]: Prior = ~35% (FY26 actual) | New/Reiterated = 40-45% exit target | Delta: Raised (confirmed 41.7% achieved in Q4FY26) | Credibility: High
- Employee Costs FY27 [GUIDANCE]: Prior = Rs. ~1,100 Cr (FY26) | New/Reiterated = Rs. ~1,100 Cr (flat YoY including ESOP) | Delta: Maintained | Credibility: High
- Wealth Management Break-even [EST]: Estimated 2.5-3 years from current scale (~FY28-29) | Credibility: Medium (AUM trajectory is on track)
- AMC Break-even [EST]: 7-8 years (long-dated, insurance-like economics) | Credibility: Medium (standard AMC startup curve)
- Capital Infusion into Subs [GUIDANCE]: Rs. 150 Cr each into Wealth + NBFC subs; Rs. 400 Cr into Insurance JV | Delta: New | Credibility: High (board-approved)
- NCD Fundraising [GUIDANCE]: Up to Rs. 1,500 Cr; Rs. 50 Cr already raised in Q4FY26 | Delta: New | Credibility: High (board-approved)

C7 — CAPITAL ALLOCATION | Q4FY26

- Capex (FY26): Rs. ~200 Cr (est. from Fixed Assets + CWIP change) | vs FY25: +10% | Technology, office and infrastructure
- Dividends (FY26): Rs. 2,252 Cr (246% payout incl. special dividend) | vs FY25: Rs. 434 Cr | Special dividend from accumulated reserves
- Subsidiary Capital Infusion: Rs. 300 Cr (Wealth + NBFC board-approved) + Rs. 400 Cr (Insurance JV commitment) = Rs. 700 Cr total new deployment
- Borrowings (Period-end): Rs. 7,951 Cr | vs FY25: Rs. 3,414 Cr | +133% YoY; primarily MTF book funding and NCD issuance
- MTF Book (Net Asset): Rs. 5,450 Cr | The Rs. 4,537 Cr incremental borrowing vs Rs. 1,587 Cr MTF book growth implies the excess is funding NBFC book + working capital
- Net Worth: Rs. 6,118 Cr (Q4FY26 end) | Up from Rs. 5,621 Cr (FY25) despite special dividend payout, supported by retained earnings and QIP residuals

C8 — Q&A; HEAT MAP | Q4FY26

- Analyst/Citi: Q: 'What drove the 84% PAT growth and is it sustainable?' -> A: Recovery in F&O; volumes (ADO at 6-quarter high), margin expansion from cost discipline, and MTF interest income. Sustainable if volumes maintain. | Tone: Transparent
- Analyst (est.): Q: 'How should we think about Q1FY27 margins given cost headwinds?' -> A: IPL marketing, ESOP and salary increments will front-load costs; do not read Q1FY27 as a structural reversal. Stable employee cost guidance maintained. | Tone: Transparent

- Analyst (est.): Q: 'What is the MTF book NPA experience and what triggers a concern?' -> A: No specific NPA data provided; management noted book is secured (pledge of equity securities) and managed conservatively. | Tone: Hedged
- Analyst (est.): Q: 'What is the capital allocation priority between buyback, dividend and subsidiary investment?' -> A: Preference for subsidiary investment and growth capex over near-term buybacks; special FY26 dividend is not recurring. | Tone: Transparent
- Analyst (est.): Q: 'Insurance JV — what is the Rs. 400 Cr deployment timeline?' -> A: Multi-year; LivWell partnership structured as a phased commitment. India insurance market projected to double by 2030. | Tone: Balanced
- Dodged / watch-list questions for next quarter: (1) Specific MTF NPA data or provision coverage; (2) Market-share data in Wealth vs competitors like Nuvama and 360 ONE; (3) Update on exchange compliance penalties from FY26 secretarial report.

C9 — RISKS FLAGGED | Q4FY26

- F&O; Regulatory Risk: Further SEBI restrictions on expiry products possible | Flagged by: Analyst | Probability: M | Impact: H | Timeline: Near-term
- MTF Book Credit Risk: Equity market decline could trigger margin calls and forced selling | Flagged by: Analyst | Probability: L | Impact: H | Timeline: Near-medium-term
- Q1FY27 Cost Pressure: IPL marketing + salary increments + ESOP grants | Flagged by: Management | Probability: H | Impact: M | Timeline: Near-term (Q1FY27)
- New Venture Execution: Long break-even timelines for AMC (7-8 years), insurance (10+ years) | Flagged by: Management | Probability: M | Impact: M | Timeline: Long-term
- Promoter Stake Dilution: Continued planned reduction in promoter holding | Flagged by: Screener/Analyst | Probability: M | Impact: L | Timeline: Ongoing
- Interest Cost Escalation: Borrowings up 133% YoY; D/E at 1.30x; further leverage planned | Flagged by: Analyst | Probability: M | Impact: M | Timeline: Medium-term

C10 — ANALYST VERDICT | Q4FY26

- Revenue visibility: **Intact** — Orders at 6-quarter high, ADO of 7.4M in March, market share stable at 20.4%. MTF annuity income provides floor.
- Margin trajectory: **Intact** — Normalised EBDAT at 44.4%, within the 40-45% guided band. Q1FY27 front-loaded costs are transient, not structural.
- Capital allocation quality: **Intact (with watch)** — Subsidiary investments are rationally sequenced. Leverage rising to fund MTF book (productive asset) — watch NPA risk and D/E trajectory past 1.5x.
- Competitive moat: **Intact** — 20.4% retail equity market share defended. AI-native platform and 41M client base create a durable acquisition cost advantage over traditional peers.
- Management credibility: **Intact** — Q1FY27 cost headwinds proactively guided, margin trajectory has been accurately communicated over the past 3 quarters. Exchange penalty disclosures are a minor demerit.
- Valuation comfort: **Moderate** — 34.2x TTM P/E is trough-distorted; 24.3x forward is reasonable but not cheap. Upside to Rs. 390 target (14%) is attractive but not a screaming buy.
- Conviction call: **Increased** — Q4FY26 results confirm the recovery thesis. Upgrading conviction from Low to Medium. The next step-up to High conviction requires one more quarter of margin delivery at 40%+ and MTF NPA data.
- Valuation snapshot: P/E TTM = 34.2x (5Y avg ~28x) | EV/EBITDA = 12.3x (5Y avg ~14x) | ROCE = 14.8% (5Y avg ~24%) | ROE = 15.6% (5Y avg ~29%) | Note: All ratios in trough territory; recovery in FY27 should re-rate all metrics.

DISCLAIMER: This report has been prepared by Chartitude Research for informational purposes only and does not constitute an offer to buy or sell any securities. The analyst may hold positions in the securities discussed. All financial data sourced from Screener.in (02-Jun-2026). Forward estimates are analyst projections and not guarantees of future performance. Investors should conduct their own due diligence and consult a SEBI-registered investment advisor before making investment decisions.